

CONFIDENTIAL DISCUSSION PAPER

PaySME Vendor Programme

Settlement and Payment Processing Partnership

PaySME enables entrepreneurs to accept online payments through a unified checkout, while extending payment access to customers who prefer, or need, to pay in cash through a trusted vendor network.

Prepared for prospective licensed PSP and banking partners

Namibia

Unified checkout.Cash-inclusive payments.

PaySME enables entrepreneurs to accept online payments through a unified checkout, while extending payment access to customers who prefer, or need, to pay in cash through a trusted vendor network.

A merchant technology platform built to bridge wallets, apps and websites.

PaySME provides a unified checkout system that enables Namibian entrepreneurs, creators, developers and digital service providers to accept online payments. Its technology layer includes hosted checkout, payment-code generation, merchant onboarding, vendor management, transaction validation, reconciliation, reporting and secure API integrations.

Unified checkout

One merchant-facing payment interface supporting connected wallets, facilitators, cards and PaySME payment codes.

Technology partner

PaySME connects merchants and customers to licensed payment providers through APIs, without itself replacing those regulated providers.

Merchant enablement

Merchant onboarding, payment links, transaction visibility, notifications, reconciliation and reporting are handled in one ecosystem.

PaySME operates as a technology integration partner.

In its existing operating model, PaySME provides infrastructure and software that connect buyers, sellers and licensed payment providers. PaySME does not directly process vendor Paycodes, hold customer cash for merchant settlement, or independently execute regulated payment services. It is therefore operating outside the PSP licensing perimeter described in the Bank of Namibia Guidance Note.

Seeking a Settlement & Payment Processing Partner (Sponsoring Bank)

The objective is specific to the Vendor Programme: to enable PaySME vendors to process PaySME Paycodes directly for cash-paying customers while the regulated payment functions remain with an appropriately licensed PSP or bank.

Agree the legal structure

Determine whether the relationship is best implemented as an agency arrangement or as a technology-partner and settlement-orchestration arrangement.

Define settlement mechanics

Agree on the settlement account, APIs, settlement frequency, controls, fees, exceptions and reconciliation standards.

Enable direct vendor Paycodes

Once the selected partnership structure is agreed and any required regulatory steps are completed, activate direct cash processing of PaySME Paycodes through the Vendor Programme.

Each partner focuses on the function it is best placed to perform.

PaySME provides

- Merchant acquisition and onboarding
- Unified checkout and hosted payment pages
- Payment-code generation and validation
- Vendor network and vendor application
- Merchant and vendor KYC information collection
- Fraud rules and transaction controls
- Secure API integration
- Validated transaction records
- Reconciliation, reporting and notifications
- Merchant and vendor support

Licensed PSP or bank provides

- Control of the settlement float
- Payment authorisation and execution
- Merchant settlement and payouts
- Regulatory compliance and reporting
- AML/CFT oversight for the regulated payment activity
- Settlement controls and exception management
- Applicable safeguarding or trust-account structures
- Operating under its PSP licence

PaySME collects KYC and AML-related onboarding information within its platform. Under the proposed partnership, the licensed PSP remains responsible for the regulated compliance obligations allocated to it under the final agreement and applicable law.

Digital wallets alone do not remove every payment barrier.

Many customers have cash available but may not have an active wallet, sufficient wallet balance, a bank card, data access or the willingness to complete multiple registration steps in order to load their mobile wallets to pay for PaySME Paycodes. The PaySME Vendor Programme is designed to make payment possible immediately - anywhere, anytime with less friction - by simply handing the cash to the vendor and allowing the vendor to process the payment immediately.

VAS services keep the network active before direct Paycode processing begins.

Through a VAS-provider API, PaySME vendors can sell services such as electricity, water and other value-added services. Where a licensed Bank wallet or PSP has authorized our VAS provider as an approved cash-in or Wicode agent, vendors may also assist customers to top up those third-party wallets.

Two partnership structures for direct PaySME Paycode processing.

PaySME's current operational model is that of a technology integration partner operating within the category described in the Bank of Namibia Guidance Note as 'Payment intermediation outside of the PSM Act'. This existing position is not one of the options being proposed here. The two options below address only the additional Vendor Programme function where vendors would accept cash against PaySME Paycodes and the relevant merchants would then need to be settled.

Agency model under section 13

A licensed PSP or system participant appoints PaySME as an agent under a formal agency agreement. The PSP remains responsible for the regulated payment service and liable to users for any and all occurrences within the scope of the agency relationship, while PaySME operates the agreed technology and vendor functions.

Technology partner and settlement-orchestration model

PaySME remains the technology, merchant-enablement and vendor-network layer. The licensed PSP or bank holds the settlement float, performs payment authorisation, executes settlement, manages regulatory compliance and pays the relevant merchants. PaySME submits validated transaction records and settlement data through secure API integration.

Prefunded settlement with real-time vendor limits.

Regardless of whether the final legal structure is implemented through the agency model or the technology-partner / settlement-orchestration model, PaySME's preferred operating mechanics are the same: the settlement capacity is prefunded with the PSP, vendor processing limits are controlled in real time, and the PSP performs the regulated merchant settlement.

PaySME prefunds the PSP

PaySME places, for example, N\$100,000 into a settlement account controlled by the facilitating PSP or bank.

Vendors load trading balances

One hundred vendors load N\$1,000 each into their PaySME vendor accounts, creating collective processing capacity of N\$100,000.

Customer pays cash

A customer presents a PaySME Paycode. The vendor validates it and receives cash from the customer.

Vendor balance reduces

The processed amount is deducted from the vendor's available limit. A vendor may never process above the available balance in the vendor account.

PaySME validates the record

The PaySME system verifies the merchant, amount, product or invoice reference, customer information, code status and vendor availability.

Secure API submission

PaySME submits validated transaction records and settlement data to the partner PSP through an agreed secure API.

PSP executes settlement

The PSP independently performs payment authorisation and settles the relevant merchant under its licence and internal controls. The PSP may determine the settlement rail, including its own wallet, another approved rail or normal bank transfer.

The cycle replenishes

PaySME reloads the settlement account as required, while vendor balances and settlement-account balances remain continuously reconciled.

This wording reflects the intended division between the technology layer and the regulated settlement layer.

The platform must always remain fully prefunded.

The aggregate amount that vendors are permitted to process may equal - but must never exceed - the available settlement funds held by the PSP or bank.

Settlement account

The PSP-controlled account holds the prefunded amount available for merchant settlement.

Vendor balances

Each vendor can process only up to the live balance displayed in the PaySME vendor app.

Continuous reconciliation

PaySME's ledger reconciles vendor limits, validated Paycodes, pending settlements and remaining PSP-held funds.

The balance may be higher than outstanding vendor capacity, but it should never be lower.

Relevant legal provisions

Technology and payment intermediation

The Bank of Namibia Guidance Note recognises entities that provide infrastructure and software solutions enabling payments, online platforms that connect buyers and sellers, and entities that facilitate payments indirectly by integrating with licensed PSPs or banking institutions. It further explains that entities which provide intermediation services but do not facilitate payment instructions fall outside the Act's definition of payment intermediation. [1]

Unauthorised payment services

Section 9 of the Payment System Management Act prohibits any person from providing payment services unless licensed or authorised by the Bank of Namibia. Section 10 requires a person intending to offer a service listed in the Act's Schedule to apply for a licence specifying the intended payment services. [2]

Agency arrangements

Section 13 allows a payment service provider or system participant to appoint an agent under an agency agreement. The agreement must address non-exclusive use of an agent, AML/CFT compliance, consumer protection and any further requirements determined by the Bank. The appointing PSP or participant remains liable to users for the agent's acts and omissions within the scope of the agreement. [3]

Payment instructions and payment services

The Act defines a payment instruction as an order to make a payment or transfer funds, and payment services as services relating to the facilitation of payment instructions, the issuance and acquiring of payment instruments or electronic money, and other services incidental to executing payments or transferring funds as specified in the Schedule. [4]

Sources

[1] Bank of Namibia, Guidance Note on the Payment Service Providers regulated by the Bank of Namibia, 5 November 2024, paragraphs 4.3-4.4. [2] Payment System Management Act 14 of 2023, sections 9-10. [3] Payment System Management Act 14 of 2023, section 13. [4] Payment System Management Act 14 of 2023, section 1 definitions of "payment instruction", "payment intermediation" and "payment services".

This discussion paper is a commercial and operating-model proposal, not a formal legal opinion. The final partnership structure should be documented with the selected PSP or bank and any regulatory confirmation required for that structure should be obtained before direct vendor Paycode processing is activated.